IN THE HIGH COURT OF KARNATAKA AT BENGALURU
DATED THIS THE 8TH DAY OF JUNE, 2023
BEFORE
THE HON'BLE MR. JUSTICE B.M. SHIVAKUMARASWAMY

CRIMINAL PETITION NO. 4412 OF 2022

BETWEEN:

SRI CHANDRASHEKARAIAH K.R.
S/O RAMAIAH,
AGED ABOUT 52 YEARS,
R/AT NO.14, 3RD CROSS,
VIJAYANAGAR, BENGALURU - 560 040. **...PETITIONER**

(BY SRI VIKRAM H. HUILGOL, ADVOCATE)

AND:

SRI MANJUNATHA B.
S/O BASAVEGOWDA,
AGED ABOUT 47 YEARS,
R/AT NO.221, 1ST MAIN ROAD,
RAJAJINAGAR, BENGALURU - 560 010. **...RESPONDENT**

(BY SMT. SHARADA P. KULKARNI, ADVOCATE)

THIS CRIMINAL PETITION IS FILED UNDER SECTION 482 OF CR.P.C., PRAYING TO QUASH THE ENTIRE PROCEEDINGS IN C.C.NO.8815/2019 PENDING ON THE FILE OF THE XVI ADDL. CHIEF METROPOLITAN MAGISTRATE, BENGALURU, FOR THE OFFENCE PUNISHABLE UNDER SECTION 138 OF THE NEGOTIABLE INSTRUMENTS ACT, 1881.

THIS PETITION, HAVING BEEN HEARD AND RESERVED FOR ORDERS ON 25.05.2023, COMING ON FOR PRONOUNCEMENT OF ORDERS THIS DAY, THE COURT MADE THE FOLLOWING:

ORDER

1. The petitioner, who is the accused in C.C.No.8815/2019, has invoked the inherent jurisdiction of this Court under Section 482 of the Code of Criminal Procedure, 1973 seeking to quash the proceedings initiated against him by the respondent for the offence punishable under Section 138 of the Negotiable Instruments Act, 1881 ("the NI Act").

2. The case of the complainant is that he advanced a hand loan of Rs.3,00,000/- to the petitioner on 12.03.2014 on the basis of a demand promissory note, repayable within one year. The petitioner did not repay the amount. On 20.08.2018 he issued a cheque for

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Rs.3,00,000/- which, on presentation, was dishonoured with the endorsement "Funds Insufficient". A legal notice was issued on 05.09.2018 and the complaint was filed after expiry of the statutory period.

3. Sri Huilgol, learned counsel for the petitioner, submits that the loan was repayable on 12.03.2015 and the limitation of three years expired on 11.03.2018, that the cheque was issued five months after that date, and that there was no written acknowledgment or promise by the petitioner. He relies on the decision of the High Court of Delhi dated 14.03.2023 in Trilok Raj Arora v. M/s Shyamlal Khemka Traders (Crl.M.C. 2417/2022).

4. Smt. Kulkarni, learned counsel for the respondent, submits that the cheque is itself a written and signed promise under Section 25(3) of the Indian Contract Act, 1872, and relies on the decision of the High Court of Judicature at Bombay dated 17.11.2022 in Narendra Harishchandra Shetty v. State of Maharashtra (Criminal Writ Petition No. 1186 of 2022).

5. Having heard the learned counsel for the parties, the question that arises for my consideration is whether a complaint under Section 138 of the NI Act is maintainable when the cheque is issued towards a time-barred debt and the only promise relied upon is the cheque itself.

6. The Explanation to Section 138 of the NI Act speaks of a legally enforceable debt or other liability. A time-barred debt is by definition not legally enforceable. The law, however, saves a promise in writing signed by the debtor to pay such a debt, under Section 25(3) of the Indian Contract Act, 1872.

7. A promise under Section 25(3) must be a promise to pay the barred debt as such. A cheque carries no recital as to the nature of the amount for which it is drawn and does not by itself evidence that the drawer intended to waive the benefit of limitation. The view that the cheque supplies its own promise would make the exception swallow the rule.

8. With respect, I am unable to agree with the view of the High Court of Bombay in Narendra Harishchandra Shetty (supra). I find myself in respectful agreement with the Delhi High Court in Trilok Raj Arora (supra).

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9. Having regard to the above, this Court holds that a cheque issued for a time-barred debt is not by itself a written promise under Section 25(3) of the Indian Contract Act, 1872, and a complaint under Section 138 of the Negotiable Instruments Act, 1881 founded solely on such a cheque is not maintainable.

10. In the present case, the complaint does not disclose any document, other than the cheque, by which the petitioner promised to pay the barred debt. The ingredients of Section 138 are not made out. In the result, I pass the following:

ORDER

(i) The criminal petition is allowed.

(ii) The proceedings in C.C.No.8815/2019 pending on the file of the XVI Addl. Chief Metropolitan Magistrate, Bengaluru, are hereby quashed.

Sd/-
JUDGE

BMS

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